HCL Technologies Ltd

Information Technology | IT Services | Latest FY: Mar-24 | ₹ Crore

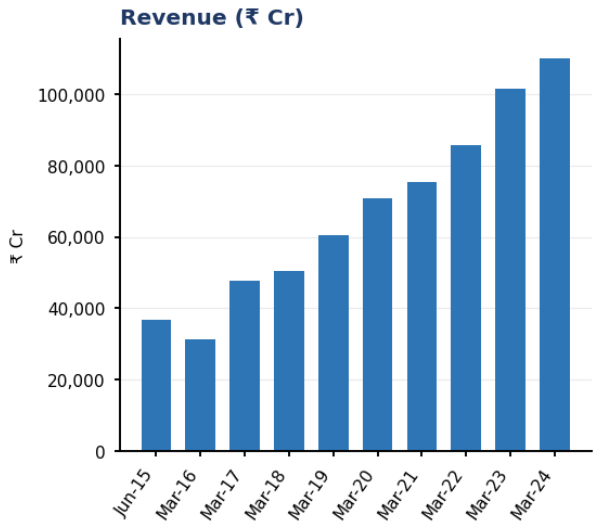
HCLTECH

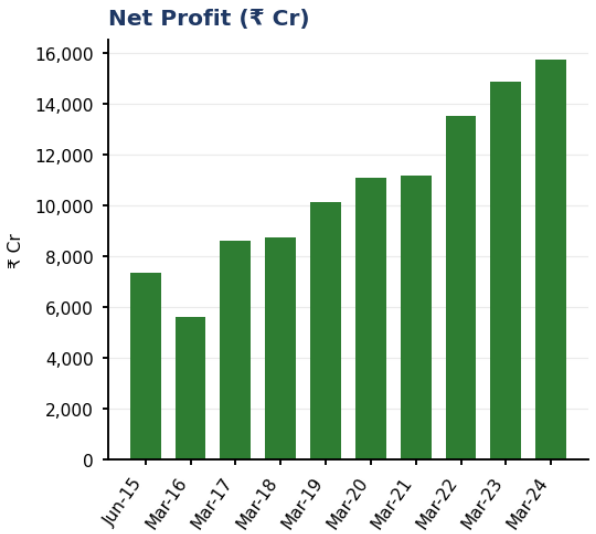
Key Performance Indicators

RETURN ON EQUITY	RETURN ON CAPITAL EMPLOYED	OPERATING PROFIT MARGIN
23.0%	**27.1%**	**22.0%**
▲ +0.3 pts vs Mar-23	▲ +0.7 pts vs Mar-23	▼ -0.3 pts vs Mar-23

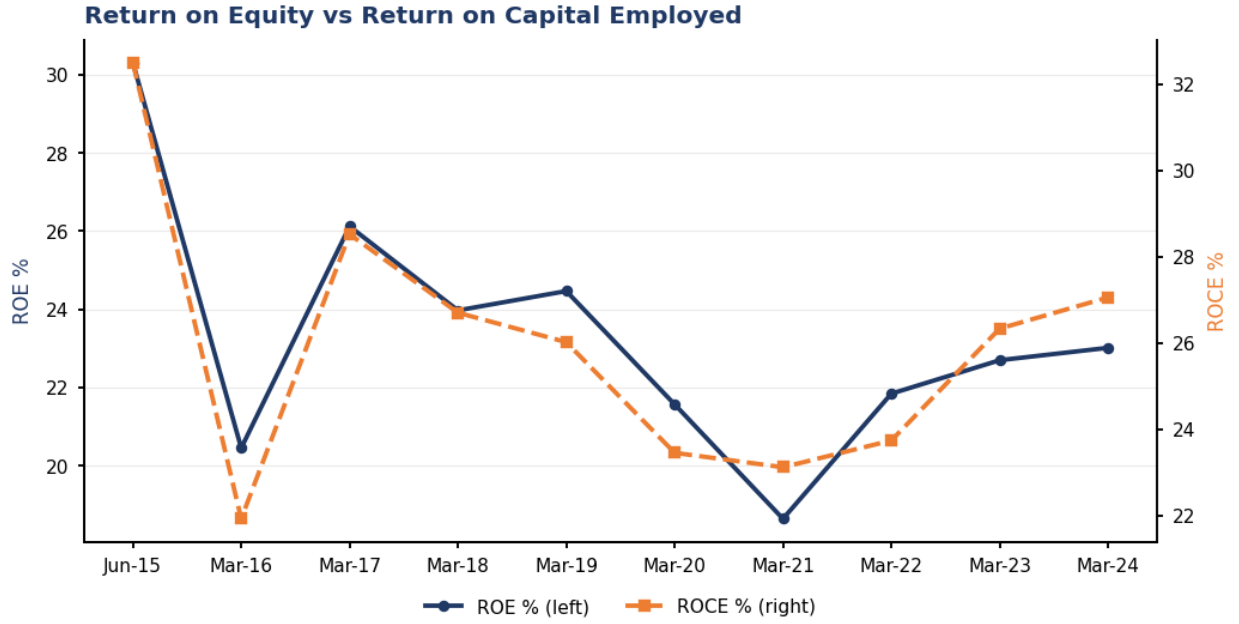
DEBT / EQUITY	REVENUE CAGR (5Y)	NET PROFIT CAGR (5Y)
0.08x	**12.7%**	**9.2%**
▲ +0.01x vs Mar-23	compound annual rate	compound annual rate

10-Year Revenue and Net Profit





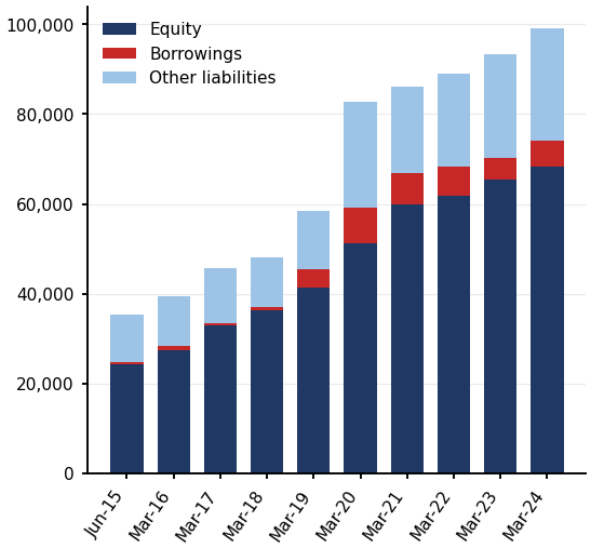
Return on Equity and Return on Capital Employed



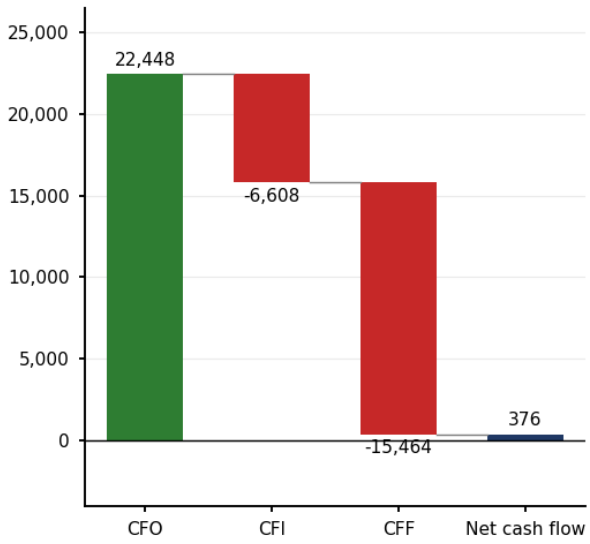
Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.

Balance Sheet Composition and Latest-Year Cash Flow

Balance Sheet Composition (₹ Cr)



Cash Flow Waterfall – Mar-24 (₹ Cr)



Capital Allocation

Reinvestor

Pattern history (CFO / CFI / CFF signs): Mar-21: Reinvestor → Mar-22: Shareholder Returns → Mar-23: Reinvestor → Mar-24: Reinvestor

Cash Flow Intelligence

CFO QUALITY (5Y CFO/PAT)	CAPEX INTENSITY	FCF CONVERSION	FCF CAGR (5Y)	FLAGS
1.37x	**6.7%**	**61%**	**22.6%**	**None**
High Quality	Moderate	FCF / operating profit		

Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing (95%)
- Strong free cash flow generation over 5 years signals healthy business fundamentals (83%)
- Growing asset base funded by internal accruals reflects self-sustaining growth (74%)
- Return on equity improving for 3 consecutive years shows strengthening business quality (74%)
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency (66%)

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (74%)

Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.